

sustainable spending numbers derived from an analysis that assumes investors always stay the course and rebalance regularly to their aggressive asset allocation throughout retirement may be far from reality for most retirees.

What happens to sustainable spending if retirees change their asset allocation at inopportune times? That is, what if retirees increase their stock allocation to chase returns after valuations have risen and then become fearful and lower their stock allocation after valuations have already fallen? Retirees could take any number of arbitrary actions in this regard.

These hypotheticals are much easier to understand with numbers attached to them, so I created an example of an asset allocation strategy in which a retiree maintains a 50 percent stock allocation when Shiller's PE10 is between two-thirds and four-thirds of its historical median up to that point in time. When values exceed the four-thirds threshold, the recent market gains embolden the retiree to increase her stock allocation to 75 percent. When market valuations drop to less than two-thirds of historical numbers, she panics and switches to a 0 percent stock allocation. When market valuations return to the middle range, she switches back to a 50 percent stock allocation.

When tested on Robert Shiller's historical data since 1871, this strategy typically lowers sustainable withdrawal rates compared to a fixed 50/50 allocation. For this data set, the fixed 50 percent stock allocation supported a SAFEMAX of 3.95 percent. The SAFEMAX fell to 3.06 percent with the behaviorally driven asset allocation strategy. There were twenty-nine starting years in which the sustainable spending rate fell below 4 percent. Exhibit 5.13 provides these historical spending rates.

*Exhibit 5.13*

*Maximum Sustainable Withdrawal Rates*

*50% Stock Allocation and Market Mistiming Asset Allocation, 30-Year Retirement*